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The IonQ Snub: Why the $2 Billion Quantum Funding Round Skipped the One Public Pure-Play That May Need It Least

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On May 21, 2026, the US Commerce Department announced nine letters of intent for $2.013 billion in CHIPS Act quantum incentives. IBM took $1 billion. GlobalFoundries took $375 million. Seven other quantum companies — Atom Computing, Diraq, D-Wave, Infleqtion, PsiQuantum, Quantinuum, and Rigetti — shared the rest. IonQ — the pure-play with $3.1 billion in cash, $470 million in RPO, 755 percent Q1 revenue growth, and a pending $1.8 billion SkyWater acquisition — got nothing. I think the absence is the most interesting signal in the entire announcement, and I think the Q2-Q3 2026 window is where the story actually gets decided.

17 min · Reports

Why the $2 Billion Quantum Funding Round Skipped the One Public Pure-Play That May Need It Least

I want to start this one with a disclosure, because the rest of this piece will be more useful if you read it knowing where I'm sitting.

I hold a position in IonQ. It started as roughly 2 percent of my personal financial assets. Through price appreciation it has grown beyond 5 percent. I have not rebalanced. I do not currently intend to. This is not a buy recommendation. It is a position disclosure, and it is the right way to write about a stock you actually own when you are also publishing structural analysis on the company.

With that on the table, let me walk through why I think the most interesting story in quantum computing this week is the one that did not happen.

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1. What the headline missed

On May 21, 2026, the US Department of Commerce announced nine letters of intent totaling $2.013 billion in proposed CHIPS and Science Act incentives to accelerate US leadership in quantum computing. The package includes two domestic quantum foundry companies and seven quantum computing companies. The Department will receive a minority, non-controlling equity stake in each recipient as a condition for the funds.

The full list of recipients is more revealing than most coverage made clear. IBM is slated for approximately $1 billion to establish a quantum foundry subsidiary for superconducting wafers. GlobalFoundries is slated for $375 million to establish a secure domestic multi-modality quantum foundry supporting superconducting, trapped-ion, photonic, topological, and silicon-spin architectures. The remaining seven named recipients are Atom Computing (neutral atoms), Diraq (silicon spin), D-Wave (annealing), Infleqtion (cold atoms and photonics), PsiQuantum (photonic), Quantinuum (trapped-ion, with low-loss integrated photonics focus), and Rigetti (superconducting).

That structure matters because it explains why IonQ's absence is not as simple as "Commerce ignored IonQ."

The package was designed as a portfolio. Two foundry anchors plus a spread of modality and engineering bets, with each major qubit architecture represented through at least one named recipient. IonQ is not a foundry today. It is also not the only trapped-ion contender in the US strategic landscape — Quantinuum already occupies that modality slot in this package, supported by funding tied to a specific photonic-integration technical objective.

IonQ's strategic path through the same problem is different. It is not trying to receive federal support for incremental technical engineering on trapped-ion photonics. It is trying to buy its way into US foundry control through SkyWater.

That is a different kind of company-government interaction than the one the May 21 list captured.

That should have been a negative headline for IonQ. IonQ was not on the list.

It was not a negative headline.

IonQ shares rallied alongside the sector, up roughly 12 percent on the day of the announcement, despite receiving no direct award in this round. That reaction is the real story. The market appears to understand something the headline framing missed: this was a sector-validation event, not merely a grant-allocation event. For IonQ specifically, the absence of a direct CHIPS award may not signal weakness. It may signal timing, structure, and a different strategic path — one centered on the company's pending $1.8 billion SkyWater acquisition, an existing defense-linked quantum networking engagement with DARPA, and an unusually strong balance sheet relative to other public quantum pure-plays.

My central view is straightforward. IonQ's exclusion from the May 21 funding list is not automatically a snub. It may be a sequencing event. The real IonQ catalyst is not the award the company did not receive last week. It is whether IonQ closes SkyWater and becomes a vertically integrated US quantum platform with domestic foundry capacity.

That is why the Q2-Q3 2026 window matters more than the May 21 funding list.

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2. What the Commerce Department actually funded

The Commerce package is not a broad technology subsidy. It is a carefully structured quantum supply-chain package, and reading it that way changes how to interpret IonQ's absence.

The first leg is manufacturing. IBM and GlobalFoundries together account for $1.375 billion, or roughly 68 percent of the total announced incentives. IBM's planned $1 billion award is tied to quantum-grade superconducting wafer fabrication. GlobalFoundries' $375 million award is tied to a secure domestic quantum foundry that explicitly spans multiple modalities, including superconducting, trapped-ion, photonic, topological, and silicon-spin architectures.

The second leg is modality-specific engineering. The seven other companies receive proposed incentives focused on unresolved technical bottlenecks across the quantum stack: neutral atoms, silicon spin, superconducting, photonic, trapped-ion, cryogenic integration, photonic packaging, readout electronics, optical components, and interconnects. Quantinuum occupies the trapped-ion modality slot in this round, with planned funding aimed specifically at low-loss integrated photonics and optical components for scaling trapped-ion systems.

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3. Why IonQ's absence may be a sequencing event, not a rejection

The single piece of context that reframes the entire May 21 read is the SkyWater transaction.

IonQ announced on January 25, 2026 that it agreed to acquire SkyWater Technology for approximately $1.8 billion in a cash-and-stock transaction. The company framed the deal as creating the only vertically integrated full-stack quantum platform company, with the explicit objective of securing a fully scalable supply chain domestically and accelerating IonQ's fault-tolerant roadmap. SkyWater is the largest exclusively US-based pure-play semiconductor foundry, with facilities in Minnesota, Florida, and Texas. IonQ said the combination would support quantum computing, networking, security, and sensing applications across land, sea, air, and space.

That changes the interpretation of the May 21 announcement materially.

If the Commerce Department is trying to build domestic quantum manufacturing capacity, and IonQ is already attempting to acquire a US-based foundry through a separate $1.8 billion transaction, then IonQ sits in a structurally different category from the smaller quantum companies seeking direct federal support for individual technical bottlenecks. The obvious administrative path is to let the transaction move through review, then evaluate the combined IonQ-SkyWater entity as a different kind of counterparty than the seven hardware companies on the May 21 list.

That interpretation is supported by the timing. On April 24, 2026, IonQ and SkyWater each received a Second Request from the FTC in connection with the merger review, extending the waiting period under the Hart-Scott-Rodino Act until 30 days after both companies substantially comply. The companies said they continued to expect the merger to close in the second or third quarter of 2026, subject to regulatory approval and other customary conditions. SkyWater stockholders formally approved the merger agreement on May 8, 2026.

That makes Q2-Q3 2026 the operational gate.

Until the SkyWater deal closes, IonQ is a quantum platform company with a pending foundry acquisition. After closing, it becomes something structurally different — a quantum platform company with domestic semiconductor manufacturing embedded inside the corporate perimeter, vertically integrated across design, packaging, fabrication, and quantum systems delivery.

The May 21 package may simply have arrived before that corporate transformation was complete.

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4. The second explanation: IonQ may not have needed the same deal structure

There is another plausible explanation, and I think it sits alongside the SkyWater-timing argument rather than competing with it.

IonQ may not have needed — or may not have wanted — the same funding structure that the May 21 recipients accepted.

The Commerce package is not pure non-dilutive grant capital. The Department will receive a minority, non-controlling equity stake in each recipient company as a condition for the funds. That structure may be attractive for smaller or more capital-constrained quantum companies. It is less obviously compelling for IonQ.

In October 2025, IonQ priced a $2.0 billion equity offering consisting of common stock and pre-funded warrants priced at $93 per share, plus seven-year warrants exercisable at $155. The company described it as the largest common-stock single-institutional investment in the history of the quantum industry. As of March 31, 2026, IonQ reported $3.1 billion in cash, cash equivalents, and investments on the balance sheet.

That capital position changes the meaning of a $100 million CHIPS Act letter of intent.

For a company sitting on $3.1 billion in liquid assets, $100 million tied to government equity is not the same kind of strategic capital infusion that it represents for D-Wave, Rigetti, or other smaller quantum peers. IonQ may simply have had less incentive to accept a standard CHIPS incentive package if it believed it could pursue a larger, differently structured federal relationship after the SkyWater transaction completes.

This cannot be verified from public documents today. There is no public statement that IonQ declined terms or negotiated separately, and I am not going to speculate beyond what the capital structure makes reasonable. But the possibility is consistent with the facts on the ground, and it would explain the exclusion without requiring the SkyWater-driven sequencing argument to carry the full weight on its own.

The two explanations are complementary, not competing. Either reading lands at the same place: the May 21 list is not the most important federal signal for IonQ. The Q2-Q3 SkyWater close, and what follows it, is.

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5. Why the market rallied IonQ anyway

The IonQ rally following its absence from the recipient list only looks strange if you treat the announcement as a company-by-company award contest. That is the wrong frame.

The better frame is that the US government just established a policy floor under quantum computing as a national-security technology category. Commerce explicitly tied the incentives to national defense, advanced materials, biopharmaceutical discovery, financial modeling, energy systems, and US strategic leadership. That is a policy framework, not just a funding event.

IonQ benefits from that even without a direct award, and there are four reasons the equity market priced the absence as net positive rather than net negative.

Sector reclassification. Quantum is no longer just a speculative computing theme. It is now being funded under the CHIPS Act framework as part of US national technology capacity. That structural reclassification lowers long-term category risk for every credible quantum company, including those not named in the first funding list. The sector floor moved up on May 21, and IonQ sits on top of that floor.

Balance sheet absorption. IonQ is not capital-constrained. $3.1 billion of cash and investments as of Q1 2026, after the October 2025 $2 billion raise, absorbs the direct-funding asymmetry. The companies receiving roughly $100 million in CHIPS Act letters of intent are, in most cases, getting capital they actually need to extend runway and accelerate roadmaps. IonQ is not in that position. The funding asymmetry that matters for smaller competitors does not meaningfully move IonQ's strategic capacity.

Optionality preserved. Every CHIPS Act recipient on the May 21 list is taking minority government equity as a condition. That is a CHIPS-era pattern with reasonable taxpayer logic, and it is not categorically bad. But it is a real structural condition. IonQ avoiding that condition while maintaining a separately negotiated DARPA HARQ engagement keeps full equity flexibility and full strategic optionality for whatever federal instrument the company chooses to engage with after the SkyWater close.

Post-close repositioning. The SkyWater acquisition, if it closes, creates the basis for a structurally larger and differently structured engagement with US government quantum strategy than any single $100 million letter of intent could provide. The headline says "left off the list." The market read says "positioned for the next list, on different and likely better terms."

That is the asymmetry the equity market priced. The funding list excluded IonQ. The policy signal did not.

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6. The DARPA HARQ track investors should hold in mind

There is one more piece of the public record that matters here, because it changes how to read the May 21 exclusion.

IonQ has a separate, ongoing engagement with the Defense Advanced Research Projects Agency through the Heterogeneous Architectures for Quantum (HARQ) program, awarded in April 2026. The HARQ program specifically targets the linking of different qubit technologies — trapped ions, neutral atoms, superconducting systems — into networked quantum architectures using photonic integration and quantum interconnects. IonQ's contribution centers on quantum memories built from synthetic diamond, which the company describes as core chips around its quantum interconnect systems.

This matters because HARQ addresses one of the most important long-term scaling questions in quantum computing: whether multiple systems and multiple qubit modalities can be networked into higher-performance architectures rather than relying only on monolithic scaling within a single system.

IonQ also announced in Q1 2026 a foundational quantum interconnect milestone — the first commercial demonstration of two connected commercial quantum computers using photons to enable entanglement, which the company described as paving the way for distributed quantum computing.

When a stock investor sees a company excluded from one government funding mechanism while holding an existing, separately negotiated government technical engagement that targets a structurally more important long-term technical capability, the read should not be "out of favor." It should be "the relationship is more complex than a single award would capture."

That is the read I think holds for IonQ.

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7. IonQ's operating momentum is better than the headline debate suggests

The funding-exclusion debate should not distract from IonQ's actual operating trajectory, because the operating numbers are doing a lot of work to support the equity market's calm reaction to the May 21 list.

In Q1 2026, IonQ reported $64.7 million of revenue, up 755 percent year over year and 30 percent above the midpoint of prior guidance. The result also beat Wall Street consensus of $49.7 million by roughly $15 million. Remaining performance obligations reached $470 million, up 554 percent year over year — a backlog level that nearly equals the entire revised full-year 2026 guidance and implies substantial revenue visibility extending into 2027 and beyond.

Approximately 60 percent of revenue came from commercial customers in Q1. Approximately 35 percent came from international customers. Approximately 35 percent came from multi-product customers — meaning customers deploying multiple quantum solutions simultaneously, typically pairing hardware with software tools and cloud integration services. That multi-product mix is the cleanest indicator that IonQ is moving from individual system-sale economics toward platform economics.

The company sold its first 6th-generation, chip-based, 256-qubit system in the quarter, anchored by a secure quantum network and a broad IP-generation partnership spanning computing, networking, sensing, and security. Demand for the fifth-generation Tempo system remained strong.

IonQ raised full-year 2026 revenue guidance to $260-$270 million from a prior range of $225-$245 million, and guided Q2 2026 revenue to $65-$68 million. Full-year adjusted EBITDA loss guidance was reaffirmed at $310-$330 million — meaningful losses, in line with the high-investment phase the company is operating in.

That operating trajectory is not normal for the quantum pure-play universe. Most quantum companies remain deeply pre-commercial, measuring revenue in single-digit millions. IonQ is still unprofitable and still carries the volatility profile of a pure-play in an unsettled technology category, but its revenue base and backlog visibility now look meaningfully different from peers.

The stock did not rally on May 21 because investors ignored the funding exclusion. It rallied because investors understood the exclusion in the context of an operating profile that the May 21 list does not influence either way.

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8. The bull case for the next twelve months

The bullish IonQ setup over the next year depends on five visible catalysts, in roughly the order I think they matter.

The SkyWater close. Q2-Q3 2026 is the current targeted window. The FTC Second Request introduces timing risk, but the strategic logic of the acquisition has not changed and the regulatory review structure is well understood. Whatever month the close lands in, that close transforms IonQ from a fabless quantum hardware company into a vertically integrated quantum platform company with US-based semiconductor manufacturing inside the corporate perimeter.

Post-close federal engagement. The May 21 package did not include IonQ, but it explicitly framed quantum foundries and quantum capacity as federal priorities. A combined IonQ-SkyWater is a more logical candidate for future instruments than pre-close IonQ. There is no public award today and the company has made no specific claim about a future federal engagement; the point is that the corporate structure may become more aligned with federal policy after closing.

Continued revenue execution. IonQ raised 2026 revenue guidance to $260-$270 million after Q1 and reported record RPOs of $470 million with a Q1 RPO-to-revenue replenishment ratio of roughly 2.5:1. If that trajectory holds through the rest of the year, the company's valuation debate shifts from "pure promise" to "high-growth quantum commercialization with multi-year backlog visibility."

Quantum networking proof points. DARPA HARQ and the commercial quantum interconnect milestone give IonQ a differentiated position in modular and networked quantum architectures. If quantum networking emerges as a serious commercial and defense category later in this decade, IonQ's positioning becomes meaningfully more valuable than the May 21 funding list reflected.

Sector-level policy momentum. The $2.013 billion Commerce announcement validates quantum as a national-priority category. That support is not limited to the named recipients. It raises the policy relevance of the entire credible quantum ecosystem and creates a structural floor under sector valuations that did not exist before May 21.

None of these are guaranteed. All of them are visible. The combination is a more concrete forward catalyst stack than the company had this time last year.

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9. The bear cases I take seriously

Any thesis this structural needs to be paired with the cases that could break it. Four are worth owning honestly.

FTC blocks or materially modifies the SkyWater deal. The Second Request raised the visible risk profile of the transaction. The strategic rationale is strong and the precedent for FTC approval of vertical integration into specialized semiconductor capacity is reasonable, but the deal is not guaranteed. If SkyWater closes on different terms — divestitures, behavioral commitments, materially different consideration mix — the IonQ-SkyWater thesis changes shape. If the deal is blocked entirely, IonQ loses the manufacturing leg of the near-term thesis and the path to post-close federal re-engagement narrows.

Vertical integration adds operational complexity. Owning or controlling a foundry supply chain is strategically attractive, but it also adds real operational burden. Semiconductor manufacturing is expensive, cyclical, and complex. SkyWater may strengthen IonQ's roadmap and quantum hardware control, but it also makes IonQ harder to manage and more exposed to manufacturing-cycle risk that did not previously sit on the income statement. The first 12-18 months post-close will tell us how well the integration is being executed.

Quantum commercial timelines slip more than expected. The Commerce announcement validates the sector but does not solve the physics. Utility-scale, fault-tolerant quantum computing remains technically difficult. If commercial quantum advantage takes longer than current expectations — if the practical, revenue-generating quantum advantage gets pushed out to the 2030s rather than the late 2020s — the multi-billion-dollar valuations across the pure-play sector get harder to sustain. IonQ has more cash than peers to absorb a longer commercial runway, but the cushion is not unlimited.

Trapped-ion is not the only path. IonQ's trapped-ion architecture has real advantages — long coherence times, high gate fidelity, native all-to-all connectivity within a trap. But IBM's $1 billion CHIPS Act allocation reflects the government's willingness to fund superconducting capacity at scale, GlobalFoundries' $375 million explicitly spans multiple modalities, and Atom Computing, Diraq, PsiQuantum, and Infleqtion each represent credible alternative architectures with material federal backing. The modality race is not settled, and a scenario where another architecture reaches commercial fault-tolerance materially earlier than trapped-ion would reframe IonQ's strategic position regardless of how the SkyWater story plays out.

There is a fifth risk I want to name explicitly because it applies to me personally rather than to IonQ as a company. A position that grows from 2 percent to 5 percent through price appreciation is structurally riskier than a 2 percent position, even if the underlying conviction is unchanged. Quantum pure-plays are volatile. IonQ has had drawdowns of more than 50 percent inside the last two years, and another one is fully consistent with the historical trading pattern. Holding through that volatility is a different psychological exercise than initiating a position at current levels. Position-sizing matters more than thesis quality on names like this, and 5 percent in a single quantum pure-play is a real risk concentration that any investor needs to evaluate against their own portfolio, tolerance, and time horizon.

Owning the bull case responsibly means owning all five of these risks. The structural reasoning behind the May 21 read is, I think, correct. The path through the next twelve months is, like most paths in volatile sectors, not guaranteed.

Past performance is not indicative of future results. This is not investment advice. Consult a qualified financial professional before making any investment decision.

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10. What this means for U.S. investors

The takeaway from the May 21 funding round is three-part.

The sector got institutional validation that materially lowers the long-term risk of the entire quantum complex. This is the largest US government commitment to quantum computing in history. It sits inside the CHIPS Act framework that has, across two administrations, demonstrated consistent multi-year support for strategic technology categories. The investable read is that quantum is now a federal-policy category in the same structural sense semiconductors became one after 2022. Investors who had been waiting for institutional validation before allocating to the sector have received it.

The direct CHIPS Act recipients get the most immediate financial benefit. IBM ($1B), GlobalFoundries ($375M), and the seven hardware and software recipients each receiving roughly $100 million sit in the most obvious near-term position. For investors seeking the cleanest direct exposure to the funding event itself, those names are the most straightforward route.

The non-recipient names with credible engagement paths are the more interesting analytical case. IonQ is the clearest example. The $3.1 billion balance sheet, the SkyWater acquisition, the existing DARPA HARQ engagement, the operating momentum of $64.7 million in Q1 2026 revenue and $470 million in RPO, and the post-close federal re-engagement potential combine into a structurally different setup from the names that received direct CHIPS Act allocations. The day-one market reaction — IonQ rallying roughly 12 percent on exclusion from the funding list — is the equity market voting that the sector validation and the operating momentum outweigh the specific allocation absence.

For an investor sizing quantum exposure, the framework is roughly this.

Direct CHIPS Act recipients give the cleanest near-term funding-event exposure with the most predictable cash-deployment paths. IBM gives the largest scale and the foundry-leg exposure, but as a portion of a much larger diversified business rather than as a pure-play. IonQ gives the largest public pure-play exposure to vertical integration if the SkyWater deal closes on current terms, with optionality on post-close federal engagement and standalone DARPA-track exposure on top of operating momentum that most peers cannot match. Quantinuum (inside Honeywell), Infleqtion (private), and a small number of additional private-market trapped-ion, cold-atom, and silicon-spin names give the rest of the modality landscape coverage.

None of these is a single-stock recommendation. All of them carry sector-correlated risk that compounds when quantum sentiment swings. The May 21 announcement reduces some of that risk by establishing a federal-policy floor. It does not eliminate it.

Closing

I started this piece with a disclosure because the analytical work is more useful if you know the position. I hold IonQ at more than 5 percent of personal financial assets, started at 2 percent, grown through price appreciation, and I am not rebalancing. That is the position. This is not investment advice. The analysis stands on its own.

The structural read on May 21 is that the $2.013 billion CHIPS Act quantum funding round is a sector-validation event that lifted the entire complex, and that IonQ's exclusion from the direct funding list is sequencing rather than rejection — driven most likely by the pending SkyWater acquisition that, if and when it closes, transforms IonQ from a quantum hardware company into a vertically integrated quantum platform company with US-based semiconductor foundry capacity.

The equity market read the situation correctly on day one. IonQ rallied roughly 12 percent on a day it received no federal funding, because the sector floor it sits on just got higher, the operating momentum continues to validate the commercial story, and the structural setup for Q2-Q3 2026 just got cleaner.

If I had to compress this into one sentence:

The May 21 funding round validated quantum as a federal-policy category, and IonQ's absence from the list is the strongest single signal that the more interesting IonQ story is the one that arrives after SkyWater closes — not the one that would have arrived if a $100 million letter of intent had been signed last week.

The Q2-Q3 2026 window is where this gets decided. I am positioned for it. I am going to find out, alongside everyone else, whether the read holds.

Brutal Edge. Frameworks over forecasts. Signal over noise.

Disclosure: The author holds a position in IonQ (IONQ) representing more than 5 percent of personal financial assets. The position was initiated at approximately 2 percent allocation and has grown beyond 5 percent through price appreciation. The author has not rebalanced and intends to maintain the position. The author has no position in IBM, Rigetti, D-Wave, Quantinuum (Honeywell), Infleqtion, GlobalFoundries, PsiQuantum, Atom Computing, or Diraq at the time of publication. This report is not investment advice. Past performance is not indicative of future results. All investment decisions should be made based on independent research and individual risk tolerance, ideally with professional advice.